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Case Number: 25PSCV04268 Hearing Date: July 13, 2026 Dept: H

Melendez v. Prime Health Care Services, Inc., et al.,

Case No. 25PSCV04268

ORDER ON MOTION TO COMPEL ARBITRATION

Defendants Prime Healthcare Services—San Dimas, LLC and Rene Fernandez's Motion to Compel Arbitration and Stay Proceedings is granted.

Background

Plaintiff Richard Melendez ("Plaintiff") alleges as follows:

Plaintiff began working at San Dimas Community Hospital on or about September 27, 2024 as a Monitor Technician. (Compl., ¶ 119.) In early November 2024, Plaintiff informed the Medical Surgical Director there that he was diagnosed with astigmatism. (Id. at ¶ 121.) Plaintiff requested a flashlight and that ink pens be provided and used instead of pencils for the sign-in sheet when Plaintiff worked his shifts. (Id.) Plaintiff's request was ignored repeatedly. (Id.) On approximately three to four occasions from November to December 2024, Plaintiff complained to his supervisor/manager, Rene Doe, and management that Plaintiff was unable to take meal and rest breaks due to heavy workload and lack of coverage, and that Defendants failed to properly calculate his shift differentials into his regular and overtime rate of pay. (Id. at ¶ 123.) Plaintiff's complaints were ignored and violations continued. (Id.) On December 10, 2024, Plaintiff received a written disciplinary action for not following a checklist that Plaintiff allegedly could not see. (Id. at ¶ 124.)

On December 21, 2024, Plaintiff alleges to have been involved in a traumatizing incident in which Plaintiff was physically restrained from calling in a code blue to save a patient's life instead of a "slow code". (Id. at ¶ 125.) Plaintiff charted the "slow code" as required per his job duties. (Id.) On December 23, 2024, a charge nurse approached Plaintiff and told Plaintiff they could all lose their jobs because Plaintiff charted the "slow code." (Id. at ¶ 126.) Plaintiff's supervisor justified the "slow code", and Rene Doe told Plaintiff to "get on board" with the process. (Id. at ¶ 127.) Plaintiff told Rene doe that he was traumatized by the incident, and was experiencing insomnia, headaches, and suicidal thoughts. (Id.) Rene Does ignored Plaintiff's complaints. (Id.) On December 24, 2024, the charge nurse told Plaintiff Rene Doe was discussing terminating Plaintiff because of the "slow code" incident. (Id. at ¶ 128.) On December 26, 2024, Plaintiff called Defendant's Human Resources hotline regarding patient safety concerns and never received a callback. (Id. at ¶ 129.) On January 2, 2025, Plaintiff submitted his resignation letter and alleges Defendants constructively terminated him due to the hostile work environment created by Defendants in response to Plaintiff's complaints. (Id. at ¶ 131.) A week after termination, Rene Doe called Plaintiff at 1:30 am and threated Plaintiff by saying, "what happens at San Dimas stays in San Dimas" and "we know things about you." (Id. at ¶ 132.)

On November 26, 2025, Plaintiff filed a complaint, asserting 17 causes of action against Prime Healthcare Services, Inc. dba San Dimas Community Hospital ("Prime Healthcare, Inc."), Rene Doe, and Does 1-100, including causes of action for disability discrimination, failure to accommodate, retaliation, failure to pay overtime compensation, failure to provide rest breaks, and failure to pay minimum wage, among others.

On March 9, 2026, Plaintiff filed an "Amendment to Complaint," wherein he substituted Prime Healthcare Services—San Dimas, LLC in lieu of Doe 1.

On March 11, 2026, Plaintiff dismissed Prime

Healthcare, Inc., without prejudice. On May 21, 2026, Plaintiff filed another "Amendment to Complaint," wherein he corrected the name of Rene Doe to Rene Fernandez.

A Case Management Conference and an Order to Show Cause Re: Failure to File Proof of Service are set for July 13, 2026.

Pending before the Court is Defendants Prime Healthcare and Rene Fernandez's Motion to Compel Arbitration and Stay Proceedings.

Evidentiary Objections

The Court rules on Plaintiff's evidentiary objections as follows: Overruled as to Nos. 1, 2, 3, 4, 5, 6, 8, 9, 10, 11; Sustained as to Nos. 7 and 12.

The Court rules on Defendants' evidentiary objections as follows: Overruled as to Nos. 2, 3, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, and 18; Sustained as to No. 4.

Legal Standard

California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act, including a presumption in favor of arbitrability. (Engalla¿v. Permanente Medical Group, Inc.¿(1997) 15 Cal.4th 951, 971-72.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, the party opposing the petition then bears the burden of proving by a preponderance of the evidence any fact necessary to demonstrate that there should be no enforcement of the agreement, and the trial court sits as a trier of fact to reach a final determination on the issue. (Rosenthal v. Great Western Financial Securities Corp.¿(1996) 14 Cal.4th 394, 413 ("Rosenthal").) The Court is empowered by the Code of Civil Procedure section 1281.2 to compel parties to arbitrate disputes pursuant to an agreement to do so.

Discussion

A. FAA Application

If
a party asserts the applicability of the Federal Arbitration Act (“FAA”), that party “bears the burden to show it applies by presenting evidence establishing [that] the contract with the arbitration provision has a substantial relationship to interstate commerce . . . .” (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 238.) Alternatively, the parties may agree to the application of the FAA. (See Victrola 89, LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 355 (“But the presence of interstate commerce is not the only manner under which the FAA may apply. As discussed above, the parties may also voluntarily elect to have the FAA govern enforcement of the Agreement, as they did here.”).)

The
term “involving commerce,” as used in the FAA encompasses wider range of transactions than those actually “in commerce,” i.e., within flow of interstate commerce. (Citizens Bank v. Alafabco, Inc. (2003) 539 U.S. 52, 52.) “Evidencing a transaction” means that the “transaction” must turn out, in fact, to have involved interstate commerce, even if the parties did not contemplate an interstate commerce connection. (Allied-Bruce Terminix Companies, Inc. v. Dobson (1995) 513 U.S. 265, 265.)

Here,
the Arbitration Agreement expressly provides that it is governed by the FAA. (Ike Decl., ¶ 10.) The Arbitration Agreement states:

“The
Parties agree that this Agreement is governed by the Federal Arbitration Act, 9 U.S.C. §§ 1, et seq _ (“FAA”), including, but not limited to, the FAA's substantive and procedural provisions, and FAA case law at the time this Agreement is enforced. The Parties also understand and agree that the Company is engaged in transactions involving interstate commerce.”

(Id.
at ¶ 10, Exh. A, Section 3.)

In
light of the agreement that the Arbitration Agreement be governed by the FAA, the FAA applies. (See Victrola 89, supra, Cal.App.5th at p. 355.)

B. Existence of Arbitration Agreement

Defendants move to compel Plaintiff to submit his claims against Defendants to arbitration.

With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court. (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.) The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference. (Id.) Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges. (Id.)

Here, Defendant presents evidence of the Arbitration Agreement attached to the Motion and titled "Mutual Agreement to Arbitrate." (Ike Decl., ¶ 10, Exh. A.) The Arbitration Agreement was signed by Defendant Prime Healthcare and Plaintiff on September 24, 2024. (Id.) The Arbitration Agreement states:

"[T]he Parties hereby agree that, except as otherwise provided in this Agreement, any and all disputes, claims, or controversies, past, present, or future, between you and the Company arising out of your application and selection employment, the employment relationship, and/or termination of employment, shall be resolved by individual, final and binding arbitration and not by way of court or jury trial. This Agreement includes any claims the Company may have against you, or you may have against the Company, and includes disputes, claims, or controversies that arose prior to the execution of this Agreement."

(Id.)

Plaintiff contests the validity of the agreement on the basis that Plaintiff signed the Arbitration Agreement without being told the packet contained an arbitration agreement and without opportunity to read it. (Melendez Decl. ¶ 13, 15, 18.)

Plaintiff further contends the instrument is unreliable because the signature bears an impossible date of September 24, 2021, three years before Plaintiff was hired, and pages 1 through 4 do not contain initials establishing the pages were presented to Plaintiff. (Id. at ¶ 16-17.)

Plaintiff's argument is unpersuasive. The Arbitration Agreement clearly states a signature date of September 24, 2024. (Ike Decl., ¶ 10, Exh. A.) Pages 1 through 4 do not ask for the signor's initials. (Id.) Plaintiff also admits that he recognizes the signature on the last page of the Arbitration Agreement to be his. (Melendez Decl., ¶ 15.) Moreover, "[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause." (Pinnacle Museum Tower Assn. v. Pinnacle Mkt. Dev. (US), LLC (2012) 55 Cal.4th 223, 236.) Thus, Defendants have met their burden to provide evidence of the existence of an agreement to arbitrate.

C. Unconscionability

Plaintiff argues that the Arbitration Agreement is unenforceable because it is unconscionable.

At the outset, the Court agrees with Plaintiff that the Court, rather than the arbitrator, determines unconscionability. Defendants invokes Tiri v. Lucky Chances, Inc. (2014) 226 Cal.App.4th 231 to argue that parties to an arbitration agreement may agree to delegate questions of enforceability of the agreement to the arbitrator. However, in Tiri, the court was assessing whether the delegation clause itself was unconscionable. (Tiri v. Lucky Chances, Inc. (2014) 226 Cal. App. 4th 231, 231.) Because the Court is unpersuaded by Defendants' arguments, it will address the issues of unconscionability.

Regardless of the claim asserted, arbitration agreements are only enforceable if they are not unconscionable. (Armendariz v. Found. Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 113; Baxter v. Genworth N. Am. Corp. (2017) 16 Cal.App.5th 713, 721.) "Both procedural and substantive unconscionability must be present for a court to refuse to enforce a contract, although they need not be present in the same degree." (Baltazar v. Forever 21, Inc. (2016) 62

Cal.4th 1237, 1243.) A sliding scale approach is used, meaning the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa. (Id. at p. 1244.)

1. Procedural Unconscionability

Procedural unconscionability focuses on (1) “oppression” resulting from unequal bargaining power that adheres the weaker party to nonnegotiable terms and (2) “surprise” involving “the extent to which the supposedly agreed-upon terms are hidden in a prolix printed form drafted by the party seeking to enforce them.” (Flores v. Transamerica HomeFirst, Inc. (2001) 93 Cal.App.4th 846, 853.) A procedural unconscionability analysis “begins with an inquiry into whether the contract is one of adhesion. (Hicks v. Utiliquest, LLC (E.D. Cal. 2024) 736 F.Supp.3d 849, 862.) An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power “on a take-it-or-leave-it-basis.” (Id.) Circumstances relevant to establishing oppression include, but are not limited to: (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.” (Id.) To find that there was procedural unconscionability, the Court must find that there was “‘surprise or other sharp practices’ [which] may arise when a party with less bargaining power is not told about an unusual provision, or the party is otherwise ‘lied to, placed under duress, or otherwise manipulated into signing the arbitration agreement.’” (Id.)

The Court agrees with Plaintiff that the contract involved a “lack of negotiation and meaningful choice.” (Pinnacle Museum Tower Assn. v. Pinnacle Mkt. Dev. (US), LLC (2012) 55 Cal.4th 223, 247.) Plaintiff has demonstrated that Plaintiff was rushed during onboarding. (Melendez Decl., ¶ 6-7.) Additionally, no one told Plaintiff he could take the documents home or consult an attorney. (Id. at ¶ 11.) Plaintiff was not told he could refuse to sign and instead was told that he could not start the job unless he signed. (Id. at ¶ 12.) Prime Healthcare Human Resources Director, Elizabeth Ike (“Ike”), admits that employees are presented with the Arbitration Agreement as a condition of employment with Prime Health. (Ike Decl., ¶ 9.)

While Plaintiff contends that he was not given time to read any of the documents, the Court does not find this persuasive. (Melendez Decl., ¶ 7.) Employees are given a copy of the arbitration agreement for review when they submit to the job application. (Ike Decl., ¶ 8.) Employees are given a physical copy of the arbitration agreement, are informed they may ask Human Resources questions, and are instructed to review the document. (Id.) Additionally, Ike reviewed Plaintiff's onboarding file with him. (Id. at ¶ 10.) Moreover, the Arbitration Agreement is a standalone document that uses clear language. (Id. at ¶ 10, Exh. A.)

Accordingly, the Court finds a low degree of procedural unconscionability.

2. Substantive Unconscionability

Substantive unconscionability examines the fairness of a contract's terms. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 129.) Substantive unconscionability "focuses on overly harsh or one-sided results [that lack substantial justification]." (Armendariz, supra, 24 Cal.4th at 117-18.) Unconscionable terms "impair the integrity of the bargaining process or otherwise contravene the public interest or public policy" or attempt to impermissibly alter fundamental legal duties. They may include fine-print terms, unreasonably or unexpectedly harsh terms regarding price or other central aspects of the transaction, and terms that undermine the non-drafting party's reasonable expectations. (OTO, L.L.C., supra, 8 Cal.5th at p. 693.)

Plaintiff argues the Arbitration Agreement's terms are one-sided in the employer's favor because the injunctive-relief carve-out provision permits relief in court for arbitrable claims that the employer, but not the employee, would bring. Plaintiff contends that the agreement limited discovery and does not require Prime Healthcare to sign.

The Court disagrees that the agreement is substantively unconscionable. The Arbitration Agreement provides for a neutral arbitrator before JAMS or to be appointed if JAMS will not conduct the arbitration. (Ike Decl., ¶ 10, Exh. A, Section 3.) Either party may apply to a court for injunctive relief in connection with an arbitrable claim. (Id. at ¶ 10, Exh. A, Section 5.) While the Arbitration Agreement mutually limits discovery to fifty requests for production and 10 interrogatory requests to each party, additional discovery may be conducted by mutual stipulation. (Id. at ¶ 10, Exh. A, Section 9.)

Accordingly, because both procedural and substantive unconscionability are not present, the Arbitration Agreement is enforceable. Defendants' motion to compel arbitration is granted.

D. Third Party Beneficiary, Rene Fernandez

The general rule is that only a party to an arbitration agreement is bound by or may enforce the agreement. (Thomas v. Westlake (2012) 204 Cal.App. 4th 605, 613.) There are, however, "exceptions to the general rule that a nonsignatory ... cannot invoke an agreement to arbitrate, without being a party to the arbitration agreement. (Id.)

To invoke the third party beneficiary exception, the arbitration clause must have been made expressly for the third party's benefit. (Ronay Fam. Ltd. P'ship v. Tweed (2013) 216 Cal.App.4th 830, 838–39.) It is "not necessary that the beneficiary be named and identified as an individual. A third party may enforce a contract where he shows that he is a member of a class of persons for whose benefit it was made." (Id.)

Here, while Defendant Rene Fernandez did not sign the Arbitration Agreement, he is employed by Prime Healthcare and served as Plaintiff's Supervisor or Manager. (Compl., ¶ 113.) The Arbitration Agreement was made for the benefit of third-party Rene Fernandez. The Arbitration Agreement states:

"This Agreement applies to any covered dispute or claim that the Company, as defined above, may have against you or that you may against the Company, and/or any of its: officers, directors, agents, employees, representatives, owners, or shareholders; clients and host facilities; staffing agencies and their clients;

and all successors, assigns, or predecessors. Each of the entities and individuals listed in the previous sentence may enforce this Agreement, as well as the Company's third-party staffing agencies/vendors and background check vendors.”

By
expressly requiring arbitration of claims against Prime Healthcare to include its employees and representatives, the Arbitration Agreement was intended to benefit nonparties such as Rene Fernandez. (See Ronay Fam. Ltd. P’ship, supra, 216 Cal.App.4th at p. 839 [“By expressly requiring arbitration of claims against CapWest’s agents and registered representatives, the arbitration clause was intended to benefit nonparties such as Tweed and TFI. Tweed and TFI therefore made a prima facie showing sufficient to allow them to enforce the arbitration clause as third party beneficiaries.”]) Thus, Rene Fernandez is a third-party beneficiary and bound by the Arbitration Agreement.

E. Stay of Proceedings

If the court
orders arbitration, then the court shall stay the action until “an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (See Code Civ. Proc., § 1281.4.) The proceedings are stayed pending the completion of arbitration.

Conclusion

The
motion to compel arbitration and stay proceedings is granted.